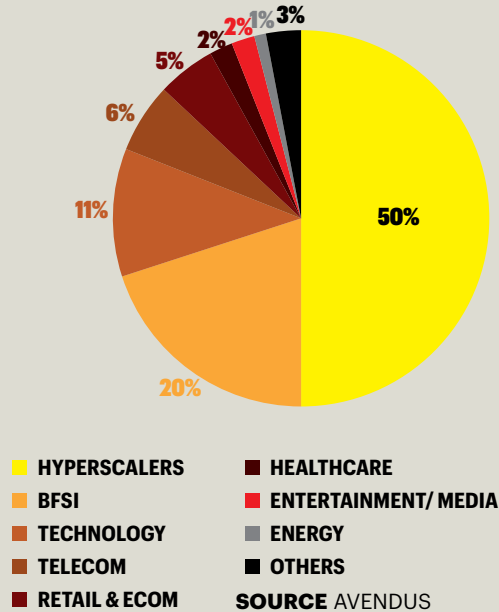


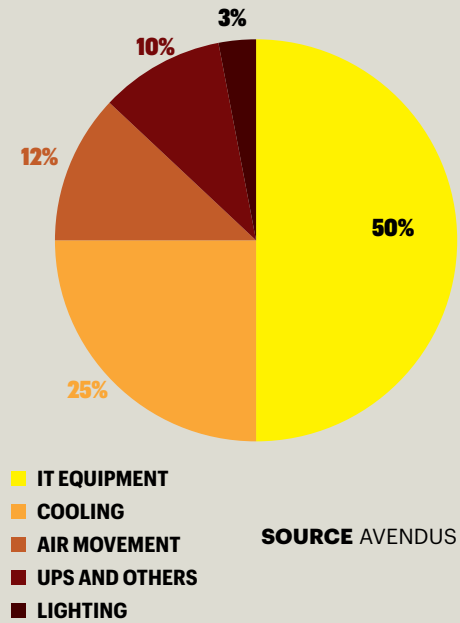
SECTORAL DEMAND

● Hyperscalers account for most of the demand for data centres. But other sectors are catching up



POWER CONSUMERS

● Availability of reliable power sources will be vital, primarily to support the needs of IT equipment



firm recently inaugurated a data centre in Mumbai that has 350 cabinets, which store IT equipment, and another 350 will go live in December.

“We’re on track to open [another data centre] in Q4 2024, which will initially provide over 1,375 cabinets and eventually scale up to more than 5,500 cabinets. We are also actively pursuing expansion into other key metros,” Paul adds. Globally, Equinix operates 264 data centres across 33 countries; 58 of those are located in the APAC region.

PUSH FOR LOCAL

Administrators in the country are keenly aware of the risks that the new digital world poses, where cyberattacks are becoming an increasingly dominant threat to national sovereignty. That’s the reason why India’s regulators have been pushing for localisation of data.

For instance, with the substantial rise in demat accounts in the country after the Covid-19 pandemic outbreak, capital markets regulator Securities and Exchange Board of India (Sebi) has mandated that all

regulated entities, such as stock exchanges, brokers, depository participants, mutual funds, and KYC agencies, ensure that their data is being stored in India.

Likewise, the Reserve Bank of India (RBI) has laid down guidelines to encourage entities to outsource services to local data centre players.

Rohan Sheth, Head-Colocation and Data Centre Services at leading industry player Yotta, says the country’s data localisation standards and the government’s boost to infrastructural development have led to “the growing favourability of India among major global data centre operators”. Yotta has five data centres—located in Navi Mumbai, Greater Noida, GIFT City, and Airoli in Mumbai. “We recently announced [a] data centre in partnership with the government of Telangana, which is expected to become operational within the next 24 months,” says Sheth.

Alok Agarwal, Head-Quant & Fund Manager at Alchemy Capital Management, says the expansion of India’s data centre industry will create multifaceted growth opportunities for IT and software services, telecommunications, real estate and infrastructure,